The Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) Guide

AML/CTF Department
Saudi Central Bank
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I. Introduction

The Kingdom of Saudi Arabia is committed to detecting and preventing laundering of proceeds of ML/FT crimes as well as to punish perpetrators in accordance with the Anti-Money Laundering Law, the Law on Terrorism Crimes and Financing, and their Implementing Regulations. Saudi Arabia had previously ratified and signed agreements at the international level. It signed the United Nations Convention against Illicit Traffic in Narcotic Drugs and Psychotropic Substances in Vienna in 1988 and the United Nations Convention against Corruption in January 2004. It also ratified the International Convention for the Suppression of the Financing of Terrorism in New York in 1999 and the United Nations Convention against Organized Crime in Palermo in 2000. Saudi Arabia joined the Financial Action Task Force (FATF) in June 2019 to be the 1st Arab country and the 37th country in the world to obtain the membership. At the regional level, Saudi Arabia ratified the Arab Anti-Terrorism Agreement under the auspices of the Arab League at a conference held in April 1998. It also signed and ratified the Organization of Islamic Conference (OIC) Agreement for the suppression of international terrorism in July 1999 as well as the GCC Anti-Terrorism Agreement in May 2004. Saudi Arabia is a founding member of the Middle East and North Africa Financial Action Task Force (MENAFATF), which created in November 2004. Furthermore, many developments in the international financial sector have been witnessed in the recent years, including the efforts made for combating ML/TF. SAMA has adopted various initiatives that include measures and other criteria in response to international developments in this field. This includes the issuance of a guide for the implementation of Security Council Resolutions relevant to combating terrorism and its financing to ensure optimal application of updated procedures and mechanisms relating to such resolutions. SAMA also issued a guide for the implementation of Security Council Resolutions relevant to preventing proliferation of weapons of mass destruction and their financing to ensure that financial institutions optimally apply the relevant procedures and mechanisms. Due to the importance of financial institutions in detecting and preventing ML/TF transactions, SAMA has prepared this Guide to help financial institutions abide by the minimum regulatory requirements and to protect these institutions from being used as a conduit for illegal transactions arising from ML/TF activities and other crimes. This can contribute to enhancing and maintaining confidence in the integrity and reputation of the financial system in Saudi Arabia.

Chapter II: Purpose

- The purpose of this Guide is to help financial institutions operating in Saudi Arabia and licensed by SAMA to develop and adopt a risk-based approach for conducting their business to meet the requirements of the Anti-Money Laundering Law, issued by Royal Decree No. (M/20) dated 05/02/1439H, and its Implementing Regulations, issued under the Decision of the Presidency of State Security No. (14525) dated 19/02/1439H, as well as the Law on Combating Terrorism Crimes and Financing, issued by Royal Decree No. (M/21) dated 12/02/1439H, and its Implementing Regulations, issued pursuant to the Council of Ministers' Resolution No. (228) dated 02/05/1440H.
- The requirements mentioned in this Guide reflect the obligations stated in the Anti-Money Laundering Law, the Law on Terrorism Crimes and Financing, and their Implementing Regulations. Such requirements do not impose any additional obligations on financial institutions supervised by SAMA.
- The requirements stated in this Guide are obligatory and are the minimum requirements to be complied with by financial institutions. Moreover, a financial institution should put in place additional appropriate measures as required by the results of its approved risk assessment.

Chapter III: Legal Framework

- Article (24) of the Anti-Money Laundering Law stipulates that "To carry out their mandate, supervisory authorities shall: (d) issue guidance, instructions, rules or any other instruments to financial institutions, designated non-financial businesses or professions, and non-profit organizations in pursuance of the provisions of this Law."
- Article (82) of the Implementing Regulations of the Law on Combating Terrorism Crimes and Financing stipulates that "To carry out their

mandate, supervisory authorities shall: (4) issue instructions, rules, guidance, or any other instruments to financial institutions, designated non-financial businesses or professions, and non-profit organizations in implementation of the provisions of this Law."

- Paragraph (4) of Article (1) of the Implementing Regulations of the Anti-Money Laundering Law stipulated that "The supervisory authorities as stipulated in Paragraph (12) of this Article include: (a) The Saudi Central Bank."
- Paragraph (4) of the Implementing Regulations of the Law on Combating Terrorism Crimes and their Financing stipulates that "The supervisory authorities bellow, each according to its jurisdiction, referred to in Article 1/22 of the Law shall include (4) Saudi Central Bank."
- Supreme Royal Order No. (55871) dated 09/11/1436H providing for the approval for making King Salman Humanitarian Aid and Relief Center as the sole authority to collect relief, charitable or humanitarian donations, whether from government or private sources, to deliver them to those in need outside the country.
- The Council of Ministers Resolution No. (226) dated 02/05/1440H states that SAMA is the competent authority by law to operate, monitor and supervise payment and financial settlement systems and their services in Saudi Arabia. It may issue rules, instructions and licenses in accordance with the standards applied by SAMA in this regard.

Chapter IV:Definitions

- **Anti-Money Laundering Law:** The Anti-Money Laundering Law issued by Royal Decree No. (M/20) dated 05/02/1439H.
- **Law on Combating Terrorism Crimes and Financing:** The Law on Terrorism Crimes and Financing issued by Royal Decree No. (M/21) dated 12/02/1439H.
- **Implementing Regulations of the Anti-Money Laundering Law:** The Implementing Regulations issued by the Decision of the Presidency of State Security No. (14525) dated 19/02/1439H.
- **Implementing Regulations of the Law on Combating Terrorism Crimes and Financing:** the Implementing Regulations of the Law on

information provided by the customer after being verified. This shall include:

a) Information of customers.
b) Information of beneficial owners.
c) Information of owners and all managers and senior executives of the customer.
d) Information of the person acting on behalf of the customer.

3.16 The financial institution may accept the execution of a transaction for an occasional customer who does not have a business relationship with it. This applies to individuals (citizens and residents) and visitors with a visa of temporary residence, taking into consideration Paragraph (4.4) in the Enhanced Due Diligence Section.

B. Beneficial Owner

To implement the risk-based approach, the financial institution shall be certain of the identity of the beneficial owner or any person controlling the business relationship. The beneficial owner may not be a legal person, but rather a natural person who owns or controls the legal person directly or indirectly.

Concealing ownership information related to business and operations is one of the methods used for ML/TF. Therefore, collecting the necessary information and verifying the identity of the beneficial owner or anyone controlling the business relationship is important in combating ML/TF.

Article (7/3) of the Implementing Regulations of the Anti-Money Laundering Law and Article (17) of the Implementing Regulations of the Law on Combating Terrorism Crimes and Financing stipulate the measures that must be taken by the financial institution to identify and know the beneficial owner.

3.17 The financial institution shall know the identity of the beneficial owner and take sufficient and appropriate measures to verify that identity, using documents, data or information from an authenticated and independent source. In order to verify the beneficial owner's identity, the financial institution shall obtain and review all necessary details and information, provided that the due diligence measures taken by the financial institution shall be consistent with the degree and level of risk.

3.18 The financial institution shall know the identity of the natural person who owns or controls (25%) or more of the legal person's shares and take sufficient and reasonable measures to verify that identity, taking into account that a natural person who controls (25%) of the shares may not necessarily be the beneficial owner. In this case or when there is no natural person who owns or controls (25%) or more of the legal person's ownership, or if there is suspicion that the owner of the controlling share is not the beneficial owner, the financial institution may take the following preventive measures:

a) Identifying the natural persons who occupy senior management positions with the legal person, so that the financial institution becomes sufficiently satisfied that these persons control the legal person.
b) Identifying the owners who control less than (25%) of the shares if it becomes clear to the financial institution that these owners are the beneficial owners or controlling the legal person.
c) Identifying the natural person who holds the position of senior management officer.
d) Identifying the high-risk customer and taking preventive measures, including enhanced due diligence measures and continuous monitoring of the customer.
e) Keeping records of the measures and procedures taken by the financial institution in addition to the reasons for suspecting that the owner of the controlling share is not the beneficial owner.

3.19 The financial institution shall not rely primarily on the written statement of a customer to identify the beneficial owner; it shall take reasonable and adequate measures to verify the beneficial owner by understanding the ownership and control structure of the legal person. In order to understand that structure, the financial institution can refer to any of the following documents:

a) The data of joint stock companies listed on the Capital market.
b) The stockholders register.
c) The memorandum of association.
d) Minutes of board meetings.
e) The company's commercial register.
f) The articles of association.

3.20 The financial institution shall maintain records and documents related to the identification and verification of the beneficial owner as mentioned in Paragraph (6.1) of the Record Keeping Section.

3.21 If the customer of the financial institution is an individual, it shall ensure that the business relationship with that customer is used for the benefit of the individual whose name is registered and for the purposes specified (and determine whether the customer is acting in his own interest). In the event that there is a suspicion that the customer is acting in the interest of others, the financial institution must specify the capacity in which the customer, or anyone acting on his behalf, acts. The beneficial owner is then identified to the satisfaction of the financial institution. It shall also ensure that any person claiming to act on behalf of a customer is authorized and shall identify and verify that person's identity.

C. Reliance on a Third Party to Implement Due Diligence Measures

The financial institution may rely on another financial institution or any of the owners of DNFBPs to implement the due diligence measures. However, when a financial institution carries out the due diligence measures itself, it will be in a better position to identify and assess customer risks, especially when such measures involve meeting customers in person.

In all cases, in accordance with the obligations mentioned in the Anti-Money Laundering Law, the Law on Combating Terrorism Crimes and Financing, and their Implementing Regulations, the responsibility for implementing due diligence measures shall rest with the financial institution seeking assistance from another party as such financial institution is fully responsible for complying with the regulatory requirements relating to due diligence and SAMA's Instructions for Outsourcing.

> Article (7/10) of the Implementing Regulations of the Anti-Money Laundering Law allows the financial institution to rely on another financial institution or any of the owners of DNFBPs to carry out the due diligence measures, including entities that are part of the same financial group. Articles (7/11) and (7/13) of the Implementing Regulations specify the conditions that must be fulfilled by the financial institution prior to reliance on another party.

3.22 The financial institution may rely on a third party, whether it is a financial institution or any of the owners of DNFBPs, to implement the due diligence measures, in accordance with the following:

a) The financial institution shall ensure that the third party is subject to regulation and supervision and that it applies due diligence and record-keeping measures as stated in the Anti-Money Laundering Law, the Law on Combating Terrorism Crimes and Financing, and their Implementing Regulations.
b) The financial institution shall take actions to ensure that due diligence information is provided by the third party upon request and without delay.
c) The financial institution shall immediately obtain all information related to due diligence, including simplified and enhanced due diligence measures, from the third party.
d) The financial institution shall take into consideration the information available to the AMLPC, the PCCT, and the SAFIU on high-risk countries when determining the countries in which the third party may be conducting business.

3.23 The financial institution shall assess the ML/TF risks associated with reliance on a third party and, therefore, it shall develop and apply appropriate policies and procedures for risk management. Such procedures may include the following:

a) Identification of the minimum due diligence requirements to be met by the third party.
b) Conduct frequent examination of obtained information and documents to apply the due diligence measures, including enhanced or simplified due diligence.

c) Monitoring of customers and business relationships established them through reliance on a third party as well as application of intensive control measures towards them in accordance with the ML/TF risk assessment results.

3.24 The financial institution shall periodically verify (at least annually) that the third party has the sufficient capabilities and powers required to fulfill the due diligence requirements in a professional manner. The financial institution shall also continuously assess the third party's compliance with such requirements.

3.25 The financial institution has the right to directly obtain the customer due diligence information from the third party relied upon to perform due diligence, if such party has previously implemented due diligence measures for the same customer when dealing with another financial institution, taking into account that the required information shall be complete and that due diligence measures are constantly applied according to the requirements mentioned in Paragraph (3.7) in the Due Diligence Section.

Section 4: Enhanced Due Diligence Measures

A. Enhanced Due Diligence Measures

Customer classification according to the level of risks is a key element in the financial institution's risk-based approach. The financial institution shall identify the risk factors to be taken into consideration when classifying a customer in the high-risk customer category from the AML/CTF perspective. It shall also take additional steps to collect information about high-risk customers and business relationships in order to understand and assess risks and monitor transactions more accurately. It is the responsibility of the financial institution to identify high-risk customers, either individually or by category, and accordingly implement enhanced due diligence measures in a manner that ultimately leads to mitigating risks.

The financial institution may also refer to a set of available resources to classify the degree and level of risk for high-risk customers, including the data collection form prepared by SAMA and the FATF guidelines

Article (5/5) of the Implementing Regulations of the Anti-Money Laundering Law and Article (17) of the Implementing Regulations of the Law on Combating Terrorism Crimes and Financing state that the financial institution may apply simplified measures when the ML/TF risks are low subject to the necessary conditions.

5.1 When the level of ML/TF risks is low, the financial institution may take simplified measures, provided that there is no suspicion of any ML/TF transaction. Such simplified measures shall be commensurate with the low risks and must include the adoption of simplified due diligence to identify and verify the customer's identity.

5.2 The financial institution shall include the simplified measures and procedures applied to low-risk customers and business relationships in the approved AML/CTF policies and procedures.

5.3 Application of the simplified measures does not mean exemption from the requirements of customer due diligence, but rather the application of due diligence measures in a streamlined and simplified manner consistent with the ML/TF risks posed by the customer or beneficial owner. Regardless of the level of risk posed by the customer or business relationship, the financial institution shall comply with the following when applying due diligence:

a) Verifying the identity of the customer or the person acting on his behalf, relying on an authenticated and independent source.
b) Identifying and verifying the identity of the beneficial owner through a reliable and independent source to the satisfaction of the financial institution that it knows the beneficiary owner.
c) Understanding the nature and purpose of the business relationship.
d) Understanding the ownership and control structure of the customer who is a legal person.

5.4 The financial institution may apply simplified due diligence measures for all the criteria mentioned in Paragraph (5.3) in the Simplified Due Diligence Section. The financial institution determines the nature and quality of these simplified due diligence measures according to its

ML/TF risk assessment results. Such measures are usually associated with the following elements:

a) Timing of verification of the customer's information and associated documents.
b) The intensity and periodicity of the verification of customer information.
c) Details and nature of the information obtained from the customer.

5.5 Having identified the customer, the financial institution may postpone the identity verification process, provided that it shall adhere to the following:

a) Verifying the information and documents of the customer as soon as possible.
b) Ensuring that it is necessary to postpone the verification of the customer’s identity to avoid interruption of usual business procedures.
c) Applying appropriate and effective measures to control ML/TF risks.
d) Ensuring that measures for risk management are in place regarding the situations in which a customer can benefit from a business relationship prior to the verification process.

5.6 If simplified due diligence measures have been applied to certain customers and business relationships, they shall be subjected to monitoring by the financial institution, as described in Paragraph (7.3) in the Monitoring of Transactions and Activities Section. Based on continuous monitoring, the financial institution shall consider applying enhanced due diligence in the case of high ML/TF risks.

5.7 When carrying out a transaction for an occasional customer, the financial institution shall obtain the information of the identity of the citizen/resident or the passport and visa information of the visitor/temporary resident and record the executed transactions number as a reference. If the transaction involves a money transfer or check, a copy of the ID or passport and visa shall be obtained and the requirements under the Wire Transfer Section shall be met.

5.8 An occasional customer is allowed to execute the following transactions:

a) Payment of utility bills.
b) Payment of amounts payable to government entities.
c) Currency exchange, money transfer, and cashing of checks with a maximum amount of SAR 5,000 or its equivalent per transaction, or no more than SAR 50,000 or its equivalent in one year.
d) Purchase of visitor mandatory insurance policies.

Section 6: Record Keeping

The financial institution shall make its records available to the competent authorities and to its relevant departments in order to allow analysis of data, tracking and structuring of financial transactions, tracing of the origin and executor of transactions as well as those authorized to sign or carry out transactions.

Article (12) of the Anti-Money Laundering Law and Article (65) of the Law on Combating Terrorism Crimes and Financing state the financial institution's obligations relating to the manner of record keeping, the minimum record-keeping period, and the possibility for extending that period according to the regulatory requirements.

6.1 The financial institution shall keep records for a period of no less than ten years from the date of the end of the business relationship or contract, conclusion of the transaction, or closure of the account, or the date of completion of a transaction for a customer who has no business relationship with the financial institution (occasional customer). The financial institution shall also comply with any instructions issued by the competent authority to extend the record-keeping period.

6.2 The financial institution shall put in place approved internal procedures and controls for record keeping and documentation and ensure that they are reviewed and enhanced on an ongoing basis and effectively implemented. These shall at least include the following:

a) The manner for record keeping (paper or electronic) and the mechanism and authorization for access to records and their retrieval.

b) The measures taken to meet the regulatory requirements related to record keeping outside Saudi Arabia to ensure that there are no obstacles to having access to the records.
c) Arrangements of the record keeping department that ensure meeting the regulatory requirements for AML/CTF.

6.3 The financial institution shall provide the record keeping department with adequate resources, take the necessary measures to maintain and protect its electronic archiving systems, and conduct periodic tests (at least annually) to verify the effectiveness of the record-keeping process.

6.4 The financial institution shall keep records in a retrievable and auditable manner and maintain a complete and appropriate status of the records to allow analysis of data and tracking of transactions, provided that the financial institution provides SAMA with the necessary records as requested.

6.5 In the case of outsourcing, the financial institution should consider the following:

a) The contract must clearly state the obligations requiring the third party to enable the financial institution to obtain records and exercise the right to directly access the data related to outsourcing in addition to the right of access to the service provider's workplace.
b) The contract must clearly state the obligations requiring the third party not to provide any other party with the data or records or allow access to the areas or technological systems used for document and record keeping, except through the financial institution after coordination with SAMA.
c) The financial institution shall conduct periodic checks by asking the third party to provide various samples of the records to ensure that the third party is compliant with the obligations and requirements of the contract in line with the regulatory requirements.
d) The requirements stated in Paragraphs (3.21) and (3.22) in the Due Diligence Section shall be observed.

6.6 When unsuccessful preventive measures have been taken by the financial institution, it shall keep a document explaining these measures for no less than ten years from the date on which the measures were taken, provided that the document includes the reasons why the measures did not work. In all cases, the financial institution shall observe Paragraph (3.11) under the Section on Due Diligence Measures.

6.7 The financial institution shall keep documents related to internal investigations, inspections, and suspicious activity reports for a period of no less than ten years from the date of reporting to the competent authorities or taking the decision not to report, taking into account that:

a) Reports and internal investigations shall be confidential.
b) Specify employees authorized to have access to the documents.

6.8 When conducting wire transfers, the financial institution shall maintain all information related to the wire transfer originator and the beneficiary as stated under the Record Keeping Section.

6.9 In cases of wire transfers outside Saudi Arabia, the intermediary financial institution in the payment chain shall ensure that all information relating to the originator and beneficiary remains with the wire transfer and shall keep all of that information in its records as stated under the Record Keeping Section.

6.10 In cases where technological restrictions prevent the retention of information about the originator or beneficiary associated with a wire transfer outside Saudi Arabia and it is intended to be kept with the relevant local wire transfer data, the intermediary financial institution shall keep a record containing all information received from the financial institution that originated the transfer or from the intermediary institution for a period of ten years from the date of completion of the transaction or closure of the account.